

To summarize, the questions that need to be asked for long-term liabilities-

Interest Coverage Ratio.



Debt-Equity Ratio.

Effective Borrowing Cost.



Credit rating of the firm over the years.

How well is the long-term borrowing secured?



How much does the company have as financial assets?

The purpose of the loan that is taken.



It is important to evaluate the above items for multiple companies, including debt-heavy ones. That will help us understand debt scenario for different companies. Here, we find that the company does not have much problem as the debt taken is relatively low, whereas in many cases, this might become a problem.

In the next section, we will take a look at the Long-term provisions and other items of the non-current liabilities side.